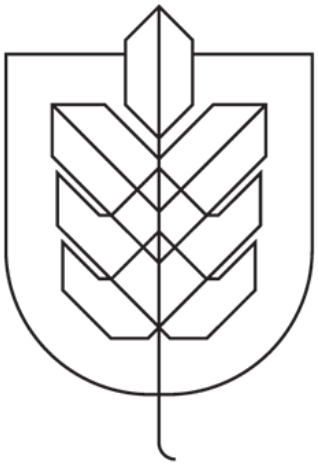


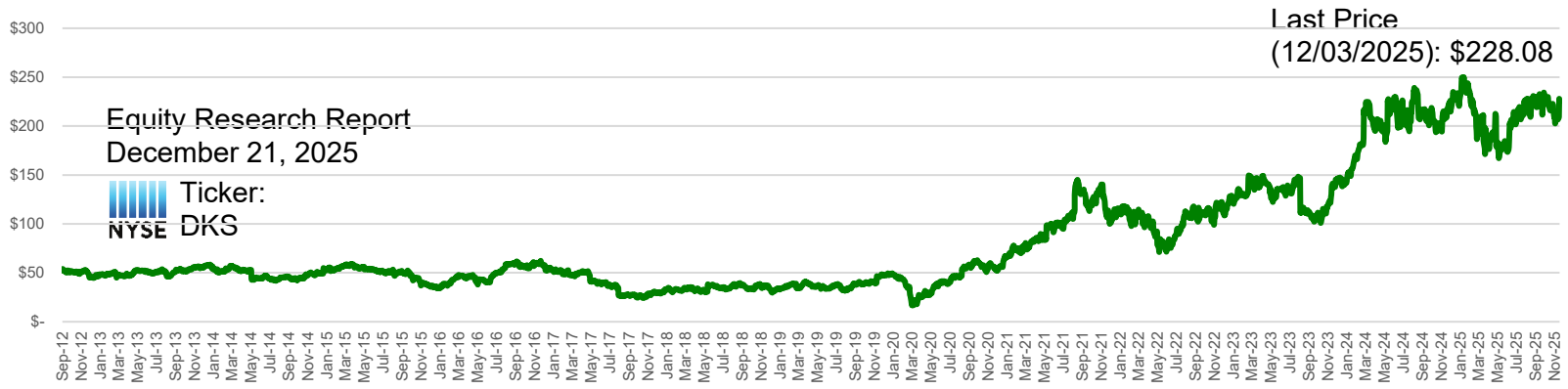
HULT
INTERNATIONAL
BUSINESS SCHOOL

A2-2. Equity Research Report

Submitted to:
Professor Paul Ahn, CPA
in partial fulfillment of the course
Corporate Finance - FIN-0300 - BOS1

Submitted by:
Michel Ward

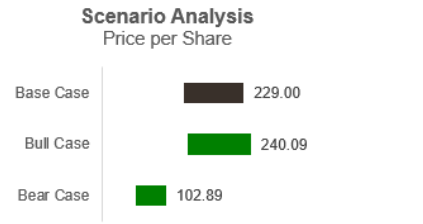
Hult International Business School
Boston
Date: December 21, 2025



Consumer Discretionary | Sub-sector: Specialty Retail | NAICS Industry: Sporting Goods Stores

EXECUTIVE SUMMARY

Recommendation	BUY
Current Price	228.08
Target Price	229.00
Expected Return (%)	0.4%
Shares Outstanding (M)	80,468,000.00
Market Capitalization (B)	18,353,141.44
52-Week High	250.04
52-Week Low	167.22
Earnings Per Share	14.05
Price / Earnings	16.23





Investment Recommendation

We begin with a coverage on DICKS Sporting Goods, Inc. (NYSE: DKS) with a recommendation of BUY and a target price of 229.00 within a 12 month time. This would give the company a present value of about 0.4% in terms of expected total return (assuming no further upside/downside due to multiple re-rating not contained in our base assumptions).

Valuation Methodology

We base our target price mainly on single Discounted Cash Flow (DCF) valuation based on a bottom-up projection of the revenue and operating profitability, reinvestment requirement, and a forecast of cash generated by the company as a free cash flow. WACC of 8.46 per cent and terminal growth rate of 2.5 are some of the major parameters of DCF. We then compare the intrinsic value with the relative valuation results through trading multiples (e.g., EV/Sales, EV/EBIT, EV/EBITDA, and P /E) with a set of peers of global sporting goods and specialty retail comparables.

Investment Thesis

Our **BUY** view on DKS is underpinned by three primary drivers supporting the company's medium-term fundamentals: 1)**Omnichannel scale and differentiated customer experience** (store footprint + digital integration) that supports traffic, conversion, and market share resilience. 2) **Margin durability through merchandising mix and operating discipline**, with continued execution on product assortment, pricing, and cost management translating into stable profitability through the cycle. 3)**Cash generation and balance sheet flexibility**, which supports reinvestment in growth initiatives while preserving capacity for shareholder returns and strategic optionality.

i. RESILIENT TOP-LINE WITH UPSIDE FROM SHARE GAINS

In our base case, we underwrite a consistent growth of the consolidated business of about 4% revenue CAGR between 2026 and 2030 which will be a normalized growth. The bull case would have a higher 6% CAGR because DKS will be taking a portion of the more fragmented competitors due to better execution and scale advantage, and the bear case is 6% nominal growth (or about -2% in real terms), which follows on a more stagnant demand environment.

ii. GROSS MARGIN RECOVERY DRIVEN BY SYNERGIES, MIX, AND INVENTORY NORMALIZATION

Gross margin should improve as the firm achieves procurement synergies (~$100-125M) and will not have to promote intensively in the long run. In the base case, cost of sales will be approximately 67% in 2026 (GM 33%), which will increase to 66% in 2028. The bull case will be that the recovery is sharper to about 65 percent by the year 2030 with the help of increased proportion of full-price selling and vertical brands whereas the bear case will maintain cost of sales high at about 69 percent because of continued markdown pressure. This margin route is facilitated by modeled working-capital gains such as a slow decline in days in inventory down to an approximation of 112 (base) / 110 (bull) by 2030.

iii. OPERATING LEVERAGE + CASH GENERATION CREATE FLEXIBILITY (DELEVERAGING AND REINVESTMENT)

In our prediction, we assume that DKS will be able to defend and increase operating leverage in both scale of revenue and integration activity. In the base case, SG&A declines to an operating leverage + efficiency gains (including automation/AI) of about 21% of sales, and the bull case declines to about 20% or less by 2030. Conversely, the bear case has SG&A at a nearer level of about 23, which is equivalent to a deleverage of fixed costs and a possible increase in marketing intensity. Better conversion of cash flow also helps to improve the balance sheet: interest burden decreases to a range of approximately 0.5 percent of sales by 2030 under a base case, and can go even lower in a bull case with quicker deleveraging/refinancing. Capex is proscribed to converge to a level of 3-4 per cent of sales to normalize as integration expenditure declines and an upside (bull) to the extent that the management shifts to growth spending and downside (bear) to the extent that the management shifts to cash hoarding.

BUSINESS OVERVIEW

DICKS Sporting Goods, Inc. (DKS) is a major U.S.-based omnichannel retailer of sporting goods in a large and competitive market of specialty retailers. The company has an established brand heritage and a national scale operating platform that integrates a network of stores nationwide with a developing digital platform that places DKS in a position to meet the demands of customers in the team sports, fitness, outdoors recreation, and daily athletic lifestyle category..

Established in 1948 with its headquarters in Coraopolis, Pennsylvania, DKS has concentrated the enormous percentage of income in the United States and its primary competitors on assortment breadth, inventory availability, service/experience, and convenience, both within and without the channels. The business of the company is structured around a variety of retail banners such as: (i) DICK'S Sporting Goods, which is its classic full-line sporting goods format; (ii) Golf Galaxy, which is centered on golf equipment, apparel and services and (iii) Public Lands, which is based on outdoor and

DKS retails goods via a store + e-commerce model, where brick-and-mortar stores are a physical destination as well as facilitating online demand by shipping to homes and using in-store fulfillment options. This type of omnichannel organization enhances customer accessibility, inventory efficiency, and assists in protecting its market share in an environment where competitors in the specialty retail market are divided between big-box competitors, category experts, and online-first competitors.

CORPORATE GOVERNANCE

DICKS Sporting good (DKS) has a governance structure, which is based on an independent leaning Board, formal committee oversight as well as published governance guidelines. By its latest proxy reports of 2025, 10 out of 12 directors were independent, which helps in overseeing well and maintaining strong expertise in retail and operations at the core of the company.

Board of Directors

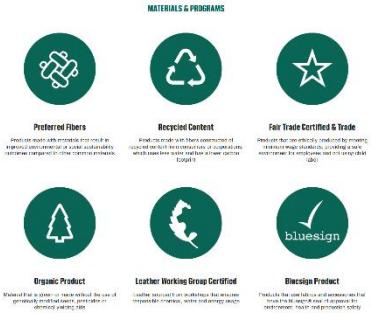
Executive Team

DKS is governed by an experienced executive leadership team with principle positions outlined in its proxy documents, including Executive Chair, Chief Executive Officer and Chief Financial Officer. The Company also has stock ownership rules for executives and directors, which it has disclosed were complied with by all named executive officers and directors as of the record date of the 2025 annual meeting - an alignment mechanism that reinforces a focus on long term shareholders.shares.

Shareholder Ownership

DKS is a public corporation that has both Common Stock and Class B Common Stock issued. In line with many big U.S. issuers, ownership is heavily institutional; as of April 14, 2025, from the proxy disclosure of the holders owning over 5% of the firm's stock, the main shareholders were FMR LLC, BlackRock, and Vanguard. Additionally, DKS is a constituent of the S&P mid-cap 400 index (Consumer Discretionary sector) which further adds institutional participation.

ENVIRONMENTAL, SOCIAL & RESPONSIBILITY AND DEIB (DKS)



Environmental, Social & Responsibility

Protecting Our Home Court (Environmental). DKS says it has publicly disclosed its greenhouse-gas emissions since 2018 and undertaken a comprehensive climate-related risk assessment in accordance with the Task Force on Climate-Related Financial Disclosures (TCFD) in 2022. Operationally, the company focuses on execution-focused initiatives, such as completing more than 600 energy efficiency projects at more than 400 stores, leading to a 6 percent decrease in store electricity consumption compared to 2021; and process improvements that avoided more than 150,000 miles of travel and prevented 298 metric tons of carbon dioxide equivalent. DKS also says that about 27 percent of its stores have moved away from single-use plastic bags, as part of a larger strategy to remove point-of-sale single-use plastic bags. Key environmental targets are:

(1) to reduce operational greenhouse gas emissions by 30 per cent by 2030, based on a 2016 baseline, and

(2) to eliminate single use point of sale plastic bags by 2025. Clearing Hurdles (Social/community).

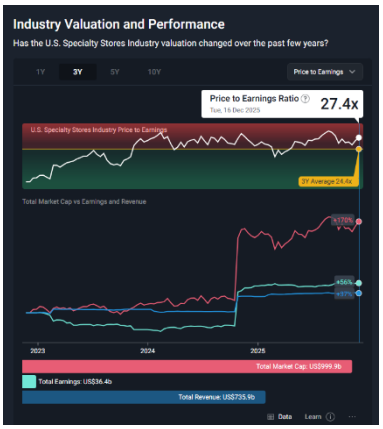
DKS emphasizes facilitating access to and engagement in youth sports through philanthropic efforts and partnerships, and is responsible for reporting over US$44,000,000 in community and corporate grants, sponsorships and donations in 2022. The company is also tracking progress towards goals such as offering opportunities for two million youth from under-served communities to participate in sports by 2024 and US$300 million in annual spending with diverse suppliers by 2025. Raising the Bar (Responsible products/supply chain). DKS highlights its collaboration with suppliers and vertical brands, including the collection of baseline environmental data for selected suppliers using the Sustainable Apparel Council (SAC) Higg Functional Environmental Management (FEM) framework, and the target of achieving 100% participation of acquired vertical brands in the Higg FEM by 2025. It also mentions DSG Ventures, a US$ 50 million fund focused on investment in innovations for athletes and communities.

DIVERSITY, EQUITY, INCLUSION & BELONGING ("DEIB")



Levelling the Playing Field (DEIB). DKS describes DEIB programs that are built around training, recruiting partnerships and a stated zero tolerance approach on racism and discrimination, and annual pay equality reviews and programs for teammates. The company states that it has a median gender pay ratio of 100% and has reached its stated goal of 50% BIPOC and/or women representation for entry-level technology hires by 2025 as measured since 2019. Current "in progress" goals include increased BIPOC representation in leadership roles by 30% by 2025 (since 2020) and increased the representation of women in store leadership to 40% by 2025 (since 2020). Separately, DKS discloses giving away approximately $500,000 to over 350 teammates through its Teammate Relief Fund. Governance oversight. DKS disclose that the key committee to support oversight of sustainability strategy and progress is the Governance & Nominating Committee, which has Board-level oversight of sustainability efforts by a cross-functional team. The proxy also describes Board oversight of human capital management and human capital teammate experience initiatives.

ECONOMY & INDUSTRY OVERVIEW



Dick's Sporting Goods operates in the U.S. consumer discretionary retail sector where near-term demand is affected by consumer health indicators including employment, real wage growth, inflation and overall financial conditions. Recent government data indicate that U.S. retail and food service sales were flat month-over-month in October 2025 and rose by 3.5% year-on-year, suggesting that consumer spending is healthy but moderating at the margin (U.S. Census Bureau, 2025a).

From an industry perspective, sporting goods is a mature and highly competitive market, in which market share is increasingly dependent on the execution of assortment, service, price/value and convenience, as well as digital capability. Structurally, the channel continues its shift towards online channels: E-Commerce sales made up a total of 16.3% Despite the cyclical pressure caused by the value seeking behaviour, participation trends continue to give a significant tailwind for category demand. The Sports and Fitness Industry Association found that participation in team sports jumped by 11 per cent from

2022 to 2023 and is the highest number of participants on record since 2014 (SFIA, 2024).

At the youth level, Project Play, using federal survey data, estimates that 55.4 percent of U.S. youth aged 6-17 took part in organized sports in 2023 (Aspen Institute Project Play, 2025). The momentum in participation is also reflected in the fast-growing of subcategories.

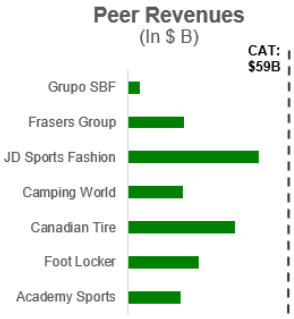
Coupled with SFIA's mid-year update on participation, pickleball continues to be the fastest growing sport and has seen a 14.7% increase among the various sports for which updated data exists (SFIA, 2025).

On a wider scale, industry research suggests that 2024 was challenging thanks to continued inflation and cautious consumer spending; yet, it is estimating roughly 6 percent annual global growth between 2024 and 2029, which means the successful retailers will be those best positioned to deliver on value, differentiation and omnichannel efficiency (McKinsey & Company, 2025).

COMPETITIVE POSITIONING

DICK'S Sporting Goods ("DKS") is a top U.S. omnichannel sporting goods retailer, which competes in a highly fragmented and rapidly changing market across large format sporting goods chains, specialty retailers, mass merchants/department stores, e-commerce players, and brands selling direct-to-consumer ("DTC") (DICK'S Sporting Goods FY2024 10-K, year ended Feb. 1, 2025). In this environment, DKS differentiates itself through (i) breadth and depth of assortment across "good / better / best" price points, (ii) premium in-store merchandising (brand shops, specialty "store-within-a-store" presentation), and (iii) a seamless omnichannel service layer - buy-online-pick-up-in-store, curbside pickup/returns, ship-from-store, same-day delivery partnerships (Instacart/DoorDash) - taking advantage of its physical footprint as a competitive advantage over online-only peers (DICK'S FY2024 10-K).

	Company Information		
Company Name	Ticker	Country	Price ($/share)
1. Academy Sports	ASO	USA	53.07
2. Foot Locker	FL	USA	24.01
3. Canadian Tire	CTC.A	Canada	168.53
4. Camping World	CWH	USA	10.30
5. JD Sports Fashion	JD	UK	79.18
6. Frasers Group	FRAS	UK	646.50
7. Grupo SBF	SBFG3	Brazil	2.37



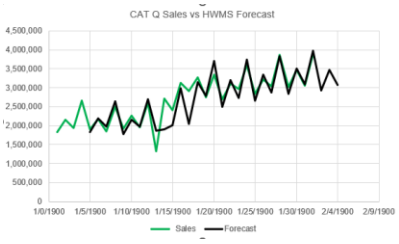
Strategically there is also the widening of the moat by DKS through differentiated concepts and owned brands. Management is currently repositioning the store portfolio with experiential formats (House of Sport), an upgraded core box concept (Field House), and service forward specialty formats (Golf Galaxy Performance Centers), with stated expansion plans through 2027 (DICK'S FY2024 10-Apr). In parallel, around 13% of sales are represented by vertical brands (owned brands), that typically have a higher margin than comparable national brands and are not offered by other retailers - supporting differentiation and profitability (DICK'S FY2024 10-K). Brand-partner relationships continue to dominate in the model (e.g., Nike accounted for about 25% of merchandise purchases in fiscal 2024), making DKS an effective model for winning important product and shop-in-shop executions (DICK'S FY2024 10- K).

Forecasting Assumptions						
	2025 Actual	2026 F	2027 F	2028 F	2029 F	2030 F
Comprehensive Income Statement items:						
Sales Forecasted	13,442,849	13,460,952	13,999,390	14,559,366	15,141,740	15,747,410
Sales Growth Forecasted	4%	4%	4%	4%	4%	4%
Cost of Sales (% of sales)	(64%)	(67%)	(67%)	(66%)	(66%)	(66%)
SG&A Exp (% of sales)	(25%)	(22%)	(21%)	(21%)	(21%)	(21%)
Interest expense of financial products (% of sales)	(0%)	(1%)	(1%)	(1%)	(1%)	(1%)
Depreciation	(198,546)	(222,228)	(236,383)	(251,003)	(266,101)	(279,346)
Amortization	(190)	(226)	(168)	(159)	(88)	(25)
Tax rate (% of income before tax)	(23%)	(21%)	(21%)	(21%)	(21%)	(21%)
Dividend (% of net Income, payout ratio)	31.3125%	31%	31%	31%	31%	31%
Stock Repurchase Program (% of net income)	1.5%	2%	2%	2%	2%	2%
Balance Sheet accounts:						
Property, plant and equipment, net Forecasted	4,437,231	4,723,404	5,012,119	5,303,432	5,597,402	5,809,375
Goodwill & Intangibles, net Forecasted	304,455	168,838	168,670	168,511	168,423	168,398
Days in Receivables	6	5	5	5	5	5
Days in Inventory	142	123	120	118	115	112
Days in Payables	63	66	66	66	66	66
Capex (% of sales)	(6%)	(4%)	(4%)	(4%)	(4%)	(3%)
Short-term debt (% annual interest rate)	0.38%	0.38%	0.38%	0.38%	0.38%	0.38%
Long-term debt (% annual interest rate)	4.55%	4.55%	4.55%	4.55%	4.55%	4.55%
Shares Outstanding (million)	82,929	83,023	83,132	83,250	83,377	83,505

FINANCIAL ANALYSIS

The expected growth of DKS is attributed to its ability to maintain category demand and gain market share via an omnichannel model, to improve the execution of its merchandising, and to engage in continuous store and concept optimization. In addition, it is assumed that DKS will continue to repatriate capital to the shareholders through a steady dividend policy and a constant but moderate share repurchase schedule.

Revenues

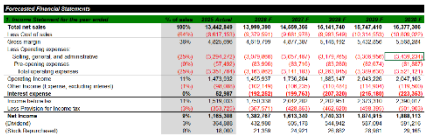


The revenue forecast for DKS is built using a tripartite methodology that first fixes the short term sales on observed seasonality before converging towards a steady state growth trajectory.

FY2026, as the statistical baseline (HWMS): DKS sales show predictable seasonality patterns during back-to-school and holiday periods. Accordingly, the first forecast year is anchored using a Holt-Winters Multiplicative Seasonal (HWMS) model with cyclicality and attenuation of sporadic noise. The resulting FY2026E revenue estimate is about $13.46 billion, virtually flat from the FY2025 actual of $13.44 billion. FY2027-2030, as the normalized stage of growth: Starting with FY2027 a growth of 4% per year is assumed, which reflects a balanced outlook, considering both stable participation and active wear demand, benefits from omnichannel integration, and low market share capture against a competitive promotional environment. Consequently, revenues are expected to grow from around$14.00 billion in FY2027E to$15.75 billion in FY2030E, which implies an approximate compound annual growth rate of 3.2 percent between FY2025 and FY2030. Terminal stage (post - FY2030): For the purpose of valuation, it is assumed that the revenue growth will eventually reach a terminal growth rate in conjunction with long run nominal economic growth assumptions as elaborated in Terminal Growth section of the valuation.

Supporting operating assumptions (what make the revenue path "work")

Gross margin path: Conservatively, we assume that the cost of goods sold will account for about 67% of sales in FY2026-FY2027, and that this will decline to about 66% in FY2028-FY2030, as the world rushes back to normal.



Operating leverage: Selling, general and administrative expenses (SG&A) are expected to decline from around 22% of sales in FY2026E to around 21% from FY2027E, which is indicative of scale benefits and prudent cost management.

Capital allocation: We expect a dividend payout ratio of about 31% with share buybacks resulting in about 2% of net income which will keep the share count relatively steady, fluctuating between about 82.9 million and 83.5 million shares throughout the forecast.

Working capital efficiency: Our model projects improved inventory productivity with days in inventory falling from around 142 days in FY2025A, to around 112 days in FY2030E, but with more stable receivables and payables (around 5 days for receivables and 66 days for payables).

Reinvestment: Capital expenditures are projected to revert to normal from about 4% of sales in FY2026-FY2029 to about 3% through FY2030, which would be consistent with a more mature capital spending profile.

Operating Margin

DKS's operating margin outlook is based more on progressive normalization of gross margin and consistent SG&A leverage rather than a one-time "step-change" target as the enterprise scales. Under our baseline scenario, the operating margin is projected to increase from about 8.7% in FY2025A, to about 10.4% in FY2026F, and then improve the operating margin to about 11.9% in FY2027F and a range of 12.5% to 13.0% in FY2028F to FY2029F, and converge to about 12.5% in FY2030F. This progression is consistent with (i) COGS stabilizing at about 67% of sales for FY2026-FY2027 and falling to about 66% from FY2027-FY2030, and (ii) SG&A decline from about 22% of sales for FY2026F to about 21% from FY2027F onward, and hence reflects operating discipline & productivity improvements rather than significant workforce headcount reductions. On an EBITDA basis, the same framework indicates margins trending from around 12% in FY2026F towards the range of 14% - 15% between FY2028F and FY2030F with stabilisation in profitability throughout the cycle.

Unlevered Free Cash Flows to Firm ("FCFF")

Beta Buildup Based on Selected Comparable Industry Peers

Company Name	Country	Equity Beta	Tax Rate	D / E	Asset Beta
Academy Sports	USA	0.850	21.00%	89.1%	0.499
Foot Locker	USA	1.400	21.00%	78.1%	0.866
Canadian Tire	Canada	1.250	25.00%	111.5%	0.681
Camping World	USA	2.570	21.00%	751.1%	0.371
JD Sports Fashion	UK	1.500	19.00%	93.6%	0.853
Frasers Group	UK	1.570	19.00%	93.6%	0.893
Topsports	Brazil	0.600	34.00%	73.5%	0.404
Low		**0.600**		**73.5%**	**0.371**
Median		**1.400**		**93.6%**	**0.681**
Mean		**1.391**		**184.4%**	**0.652**
High		**2.570**		**751.1%**	**0.893**

Projected FCFF is arrived at by NOPAT (EBIT after a 21% tax), plus depreciation and amortization from the depreciation/amortization schedule, less capital expenditures and changes in net working capital. Reinvestment is expected to be disciplined - capital expenditures are expected to average about 3-4% of sales and to decline to about 3% by FY2030F - and working capital efficiency is expected to improve mainly through improved inventory productivity (days in inventory trending lower during the forecast period). Under these assumptions, FCFF is projected to be around $1.27B (FY2026F), $1.11B (FY2027F), $1.20B (FY2028F), $1.35B (FY2029F) and $1.42B (FY2030F). The year - to - year variation is strongly affected by the modeled changes in working capital (especially the working capital benefit in FY2026), but the underlying trend in cash generation is backed by growing operating profit and a stable reinvestment rate.

Leverage

Our calculation of the discount rate of DKS is based on a market-based WACC model pegged on a debt weight of approximately 18% and equity weight of approximately 82% (using market values). The result of CAPM would be to obtain a cost of equity of approximately -9.5 by using a risk free rate of approximately 4.0 per cent, ERP of approximately 4.5 per cent and levered beta of approximately 1.225. In the case of debt, we take a market-implied method (YTM-based) which would lead to a pre-tax cost of debt

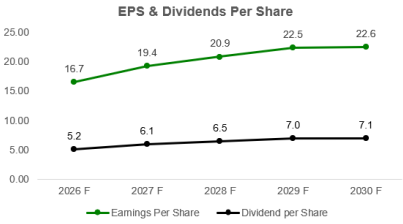
of approximately 4.93% and after-tax cost of debt of approximately 3.90% at a tax rate of 21%. This gives a chosen WACC of around 8.46% (regression beta methodology). Credit wise, the projection is medium leverage that has an affordable interest coverage (modeled at about ~1% of sales), and coverage is healthy. Interest coverage in your forecast set remains >7x (e.g., in FY2026F, it rises to that point and then onwards), and total debt/EBITDA remains around the range of 2.8x in FY2026F and becomes low and mid-2x scale over the forecast. In total, leverage is not aggressive towards the valuation framework and does not need aggressive refinancing or balance-sheet restructuring.

Profitability

DKS profitability will be good during our forecast period although the model suggests a slow process of normalization of the return measures as the balance sheet strengthens and equity expands at a higher rate compared to the net income. The reason why the ROE decreases with time does not involve a reduction in the earnings, the net income continues growing up, but there is a significant increase in the equity base (retained earnings) which diminishes the equity multiplier in the DuPont analysis. That is, the lower leverage, and the higher the liquidity, the safer the company will be but the headline ROE will be mechanically compressed.

	2026 F	2027 F	2028 F	2029 F	2030 F	TREND
a. Operating profit margin (%)	10.40%	11.95%	12.45%	12.98%	12.50%	
b. Return on Asset (%)	11.97%	11.66%	10.69%	9.91%	8.71%	
c. Return on Sales, net profit margin (%)	9.88%	11.08%	11.49%	11.91%	11.53%	
d. Return on Equity (%)	33.59%	26.42%	20.88%	17.46%	14.26%	
e. Return Over Invested Capital (%)	11.87%	11.43%	10.28%	9.41%	8.15%	
f. Sustainable Growth (%)	23.07%	18.15%	14.34%	11.99%	9.80%	

Despite such normalization, DKS still yields attractive operating returns: ROIC is sound as compared to the cost of capital of the company. Our base case shows that ROIC (~8.1%) is more or less consistent with WACC (~8.5), which means that the company will be value-neutral to slightly value-creating reinvestment, and the result will be better in the event that margin execution and inventory efficiency are better than the expectations set in our base case.



Cash Distribution to Shareholders

DKS has a record of dividend and share buyback. We make the assumption of a constant dividend policy with the payout ratio being about = -31 of net income throughout the forecast period in our model that allows further increase in the dividend per share as the earnings increase. Another assumption that we make is a constant yet moderate buyback cadence - about 2 percent of net income - to ensure that the number of shares is held relatively constant and that value is created at a per-share value without having to use excessive leverage. Combined with the above policies, DKS is positioned to generate shareholder returns in the form of a balanced combination of cash yield (dividends) and per-share compounding (repurchases) without sacrificing flexibility to reinvest and strategic priorities.

INVESTMENT SUMARY

Our DICKs sporting goods (NYSE: DKS) Base case intrinsic valuation shows the shares are a Buy, and the base-case intrinsic valuation shows the shares trade at a modest discount to fair value. Based on a DCF model, we calculate intrinsic equity of a value of approximately $18.43B, or an intrinsic value of approximately 229.00 a share, at a current price of 228.08 (indicating about 0.4% upside). The modeled premium is low in the base case, but the stock will appear to be a little underpriced on intrinsic value and provide incremental potential total return in the form of dividends and any increment on operating execution (e.g. margin delivery, inventory efficiency or positive-than-projected demand trends). With the small difference in the valuation, the recommendation has to be considered as BUY with disciplined follow-ups, especially on drivers that may cause intrinsic value to shift significantly.

Recommendation	BUY
Current Price	228.08
Target Price	229.00
Expected Return (%)	0.4%
Shares Outstanding (M)	80,468,000.00
Market Capitalization (B)	18,353,141.44
52-Week High	250.04
52-Week Low	167.22
Earnings Per Share	14.05
Price / Earnings	16.23

VALUATION

*Our intrinsic value is derived from a **Discounted Cash Flow (DCF)** model that forecasts DKS operating performance through FY2030 and applies a terminal value using the **Gordon Growth (perpetuity) method**. The DCF produces an **intrinsic enterprise value of $21.225B**.*

*In short, our model implies **market EV (~$18.356B) is below intrinsic EV (~$21.225B)**, and **market equity value (~$18.353B) is below intrinsic equity value (~$18.427B)**—driving the **$229** target. As a final robustness check, we stress-test the DCF using a sensitivity matrix on **WACC and terminal growth**, and we triangulate valuation using trading multiples (EV/Sales, EV/EBIT, EV/EBITDA, P/E) against relevant peer benchmarks.*

Discounted Cash Flow Model

General Considerations

SCENARIO	Base Case
Tax Rate	21%
Discount Rate	8.46%
Terminal Growth Rate	2.5%
Current Price (12/03/25)	228.08
Shares Outstanding	80,468,000
Asset Beta	1.04
Equity Risk Premium	4.5%
Risk Free Rate	4.0%
Cost of Debt	4.9%
Price of Debt	92.15

Weighted Average Cost of Capital Calculations

Beta Methodology	Regression	Comps
Capital Structure		
Debt / Total Capitalization	18.39%	18.39%
Equity / Total Capitalization	81.61%	81.61%
Debt / Equity	**22.53%**	**22.53%**
Cost of Equity Breakdown		
Risk Free-Rate	3.98%	3.98%
Equity Risk Premium	4.50%	4.50%
Unlevered Beta	1.040	0.652
Levered Beta	1.225	0.768
Cost of Equity	**9.49%**	**7.44%**
Cost of Debt	4.93%	4.93%
Tax Rate	21.00%	21.00%
After Tax Cost of Debt	**3.90%**	**3.90%**
WACC	**8.46%**	**6.79%**

Capital Structure Breakdown

	Date	Value	Weight
Median Current Price	12/1/2025	92.15	
Market Value of Debt		**4,135,471**	**18%**
Market Value of Equity	12/1/2025	18,353,141	82%
Total Capitalization		**22,488,612**	**100%**

Source:
https://my.pitchbook.com/profile/11058-13/company/financials
https://www.investing.com/equities/dicks-sporting-goods-inc-fir
https://finance.yahoo.com/quote/DKS/history/?period1=103477

Cost of Debt Breakdown

	Value	Weight	Rate
Short-term demand notes	503,236	11.2%	3.40%
Long-term debt (bonds)	1,484,217	33.1%	4.67%
Other long-term debt	2,500,307	55.7%	5.40%
Total Debt	**4,487,760**	**100.0%**	
Weighted Average Cost of Debt			**4.93%**

The calculation of the discounted cash flow valuation of the intrinsic value per share of DKS is on a basis of an unlevered Free Cash Flow to the Firm (FCFF). Our choice of FCFF was to appreciate the business operating without regard to any financing decision and then make the enterprise value equal to equity value through the net debt adjustment. FCFF is computed as Net Operating Profit After Taxes (NOPAT) reduced by capital expenditures, depreciation and amortization, increased by an increase in net working capital (inventory, receivables, payables, and other current operating items), and decreased by a decrease in net working capital (inventory, receivables, payables and other current operating items).

Weighted Average Cost of Capital ("WACC")

We suppose that the current capital structure of DKS is a fair representation of a steady-state target mix and weight the debt and equity using market values. In our base case, the capital structure of DKS will be about 18% debt / 82% equity, using market value of the debt (~$4.14B, calculated using traded bonds priced at about $92.15/100 par) and market capitalization (~$18.35B) as of 12/1-12/3/2025. The resulting WACC of these inputs is selected at 8.46%.**Cost of Debt (3.35%):** Based on a weighted average of CAT's debt instruments for short-term (obtained from the average rates disclosed by the Company) and long-term needs (the median of current yield to maturity, as of March 4, 2023, from outstanding long-term notes issued by CAT).

1) **Cost of Debt (~4.93% pre-tax; ~3.90% after-tax):**
   We estimate the pre-tax cost of debt using a **weighted average cost of debt** anchored to the yields implied by the company's debt stack (including a long-term bond YTM proxy). Applying a **21% tax rate** results in an after-tax cost of debt of approximately **3.90%**.
2) **Cost of Equity (CAPM):**
   Cost of equity is estimated using the **Capital Asset Pricing Model (CAPM)** with a **risk-free rate of ~3.98%**, an **equity risk premium of ~4.5%**, and a **levered beta of ~1.225** (regression-based, reflecting DKS's risk profile and capital structure). This implies a cost of equity of roughly **9%–10%** (your sheet shows ~9.49% under the regression beta approach).

Terminal Growth Rate

In the case of the terminal value, the perpetual growth rate of DKS free cash flows will be 2.5%. This rate is meant to indicate a mature retailer increasing slightly above inflation in the long run with the support of (i) the capacity to beat through inflation over time and (ii) limited real growth due to population/unit growth without having to assume that outsized share capture could continue indefinitely.

Terminal Growth Rate

	Revenue Weight	Risk Free Rate	
North America	100%	3.980%	US 10Y T-Bill
Weighted Terminal Growth Rate		**4.0%**	
Terminal Growth Rate		**2.5%**	

Scenario Analysis

To assess how sensitive DKS's intrinsic value is to changes in the operating and macro environment, we stress-tested the base-case forecast under **bull** and **bear** scenarios. The purpose is to capture the impact of shifts in demand, promotional intensity, and margin execution on free cash flow and valuation.

- **Bull scenario:**
  In the bull case, DKS delivers stronger fundamentals than our base assumptions, driven by faster sales growth and improved operating leverage (e.g., better product mix, lower markdowns, and more efficient fulfillment/inventory management). Under this scenario, the DCF produces a **median intrinsic value of ~$240.09 per share**, implying meaningful upside versus the current price and reinforcing the **BUY** rating.
- **Bear scenario:**
  In the bear case, consumer demand softens and competitive promotional activity remains elevated, pressuring gross margin and limiting SG&A leverage. We also assume a more conservative working-capital benefit and slower operational improvement. Under these assumptions, the DCF yields a **median intrinsic value of ~$102.89 per share**, representing material downside and implying that the investment case would shift toward a **HOLD / underweight posture** if evidence emerges that the bear drivers are playing out.

Sensitivity Analysis

In order to check the strength of our DCF, we stress-tested the two assumptions that have the biggest impact on intrinsic value of a mature retailer: (i) WACC and (ii) terminal growth rate. Given that in a perpetuity-based DCF terminal value is a significant fraction of total enterprise value, a change in one of the inputs can have a significant impact on the implied value of equity per share of stock.

CAT Valuation summary from different methods

	Price per Share			
Valuation Method	*Low*	*Median*	*Mean*	*High*
1. 52 Week Market High/Low	167.22	215.00	211.84	250.04
2. Base Discounted Cash Flow	132.08	229.00	267.24	716.28
3. Bull Discounted Cash Flow	138.15	240.09	280.35	752.97
4. Bear Discounted Cash Flow	54.26	102.89	122.03	346.91
5. EV/Sales	30.55	98.77	89.60	142.36
6. EV/EBIT	41.99	120.71	206.49	489.86
7. EV/EBITDA	17.02	134.69	144.03	368.30
8. P/E	(909.50)	106.70	(50.31)	211.94
Low	**(909.50)**	**98.77**	**(50.31)**	**142.36**
Median	**48.13**	**127.70**	**175.26**	**357.61**
Mean	**(41.03)**	**155.98**	**158.91**	**409.83**
High	**167.22**	**240.09**	**280.35**	**752.97**

First, we tried varying WACC by plus or minus 1% which reflects what is plausible variation in the cost of capital due to differing market conditions (risk-free rate, credit spreads, equity risk premium) and, more mellow, changes in the effective debt/equity mix. Since the assumption is that the capital structure of DKS will be relatively stable in the base case, the sensitivity is not dependent on massive changes in capitalization mixes but, instead, on the discount rate itself.

Second, we tested the assumption with regard to terminal value by flexing the terminal growth rate by 1 percent up or down around our base assumption. The analysis illustrates

the anticipated convexity, that is, reduced WACC and increased terminal growth generate significantly high intrinsic values, whereas elevated WACC and reduced terminal growth reduce intrinsic value.

Our base case has the middle result of the sensitivity grid of WACC = 8.46% and terminal growth = 2.5%, which gives an intrinsic value of approximately $229.00 per share. This matrix shows that the valuation finding is the most sensitive when the difference between the WACC and the perpetual growth decreases (i.e. lower discount rate and/or higher perpetual growth) which mechanically overstates terminal value and equity value per share.

Appendix

Comprehensive list of abbreviations used in the report

	Abbreviations	Explanation
1.	A	Actuals
2.	Avg.	Average
3.	Capex	Capital Expenditure
4.	CAT	Caterpillar, Inc.
5.	CF	Cash Flow
6.	COGS	Cost of Good Sold
7.	D&A	Depreciation & Amortization
8.	D/E	Debt to Equity Ratio
9.	DCF	Discounted Cash Flow
10.	EBIT	Earnings Before Interest and Tax
11.	EBITDA	Earnings Before Interest, Tax, Depreciation and Amortization
12.	EV	Enterprise Value
13.	F	Forecast
14.	FCF	Free Cash Flow
15.	FS	Financial Statements
16.	FX	Foreign Exchange Rate
17.	FY	Fiscal Year
18.	IRR	Internal Rate of Return
19.	LCY	Local Currency
20.	Market Cap.	Market Capitalization
21.	NOPAT	Net Operating Profit After Tax
22.	NWC	Net Changes in Working Capital
23.	P/E	Price to Earnings
24.	PP&E	Property, Plant & Equipment
25.	ROIC	Return Over Invested Capital
26.	SG&A	Selling, General & Administrative expenses
27.	SL	Straight Line
28.	USD	US Dollar
29.	WACC	Weighted Average Cost of Capital
30.	yr	Year

	Country	CCY	Value
1.	UNITED STATES	USD	1.0000
1.	CHINA, P.R.	YUAN	7.0717
2.	*EMU MEMBERS	EURO	1.1646
3.	JAPAN	YEN	155.8
4.	SOUTH KOREA	WON	1,465.90
5.	SWEDEN	KRONA	9.41353
6.	UNITED KINGDOM	POUND	1.3233

Source: International Monetary Fund

	Country	Tax Rate
1.	Germany	15.83%
2.	UK	19.00%
3.	South Korea	25.00%
4.	Sweden	20.60%
5.	Japan	23.20%
6.	USA	21.00%
7.	China	25.00%

8.	Finland	20.00%
9.	Canada	25.00%
10.	Brazil	34.00%

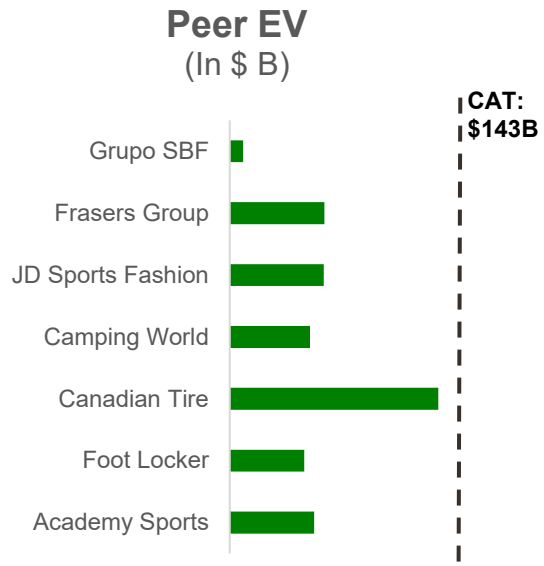
Source: PwC

>	≤ to	Rating is	Spread is
-100000	0.199999	D2/D	20.00%
0.2	0.649999	C2/C	17.50%
0.65	0.799999	Ca2/CC	15.78%
0.8	1.249999	Caa/CCC	11.57%
1.25	1.499999	B3/B-	7.37%
1.5	1.749999	B2/B	5.26%
1.75	1.999999	B1/B+	4.55%
2	2.2499999	Ba2/BB	3.13%
2.25	2.49999	Ba1/BB+	2.42%
2.5	2.999999	Baa2/BBB	2.00%
3	4.249999	A3/A-	1.62%
4.25	5.499999	A2/A	1.42%
5.5	6.499999	A1/A+	1.23%
6.5	8.499999	Aa2/AA	0.85%
8.5	100000	Aaa/AAA	0.69%

Source:
Damodaran NYU Stern

Peer Financial Data in $ million

	Company Name	*Ticker Symbol*	*Country*	*Financials*	*Revenues*	
1.	Academy Sports	ASO	USA	FY25	5,933,450	603
2.	Foot Locker	FL	USA	FY25	7,988,000	193
3.	Canadian Tire	CTC.A	Canada	FY24	11,928,507	978
4.	Camping World	CWH	USA	FY24	6,099,974	170
5.	JD Sports Fashion	JD	UK	FY25	14,604,923	1,362
6.	Frasers Group	FRAS	UK	FY25	6,304,284	849
7.	Grupo SBF	SBFG3	Brazil	FY24	1,327,225	106



Depreciation & Amortization Schedule

		2025 A	2026 F	2027 F	2028 F	2029 F	2030 F
Depreciation	**Years**						
Method - SL	37.1						
	2025 A	198,546	208,522	208,522	208,522	208,522	208,522
	2026 F		13,705	13,705	13,705	13,705	13,705
	2027 F			14,156	14,156	14,156	14,156
	2028 F				14,620	14,620	14,620
	2029 F					15,098	15,098
	2030 F						13,245
Depreciation for Fiscal Year		198,546	222,228	236,383	251,003	266,101	279,346
Capex		740,134	508,401	525,097	542,316	560,072	491,319
Capex as % of Sales		*6%*	*4%*	*4%*	*4%*	*4%*	*3%*
PP&E, gross		7,735,106	8,243,507	8,768,604	9,310,920	9,870,992	10,362,311
Accumulated Depreciation		(3,297,875)	(3,520,103)	(3,756,486)	(4,007,489)	(4,273,590)	(4,552,936)
PP&E, net		**4,437,231**	**4,723,404**	**5,012,119**	**5,303,432**	**5,597,402**	**5,809,375**
Amortization for Fiscal Year		190	226	168	159	88	25
Goodwill & Intangibles		**169,064**	**168,838**	**168,670**	**168,511**	**168,423**	**168,398**
Depreciation & Amortization Expense		**198,736**	**222,454**	**236,551**	**251,162**	**266,189**	**279,371**

Average Useful Life Calculations

	2024 A	2025 A
PP&E gross depreciable	6,994,972	7,735,106
Average Useful Life (years)		**37.1**